

# Discrimination and Male-Female Earnings Differentials

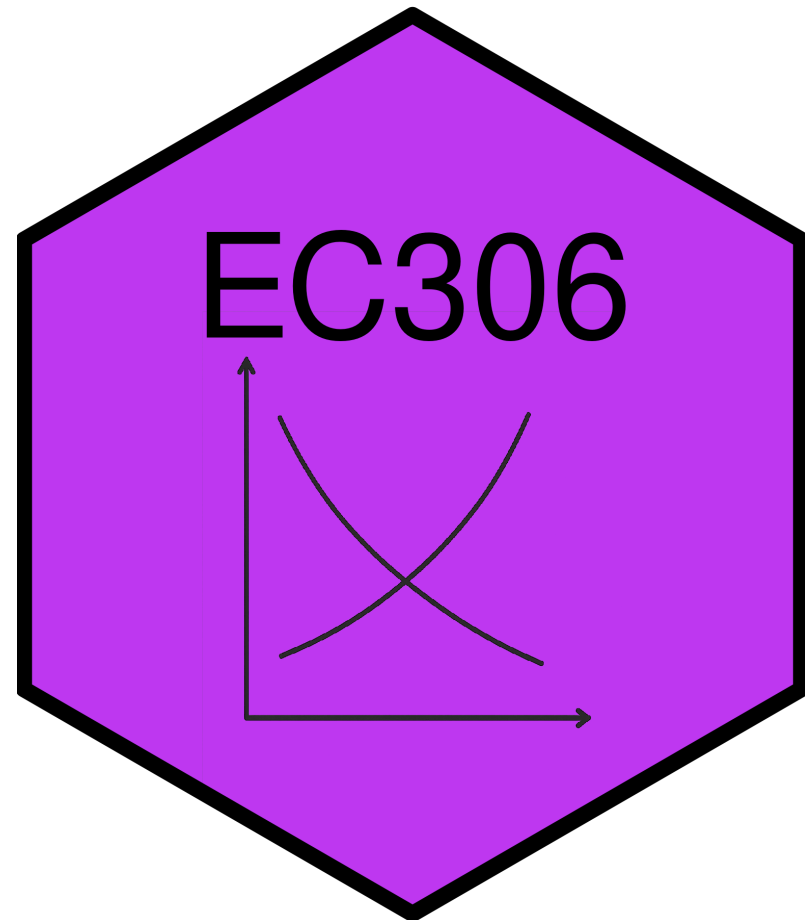
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EC306- Wages and Employment

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# Goals of This Section

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In this section we will:

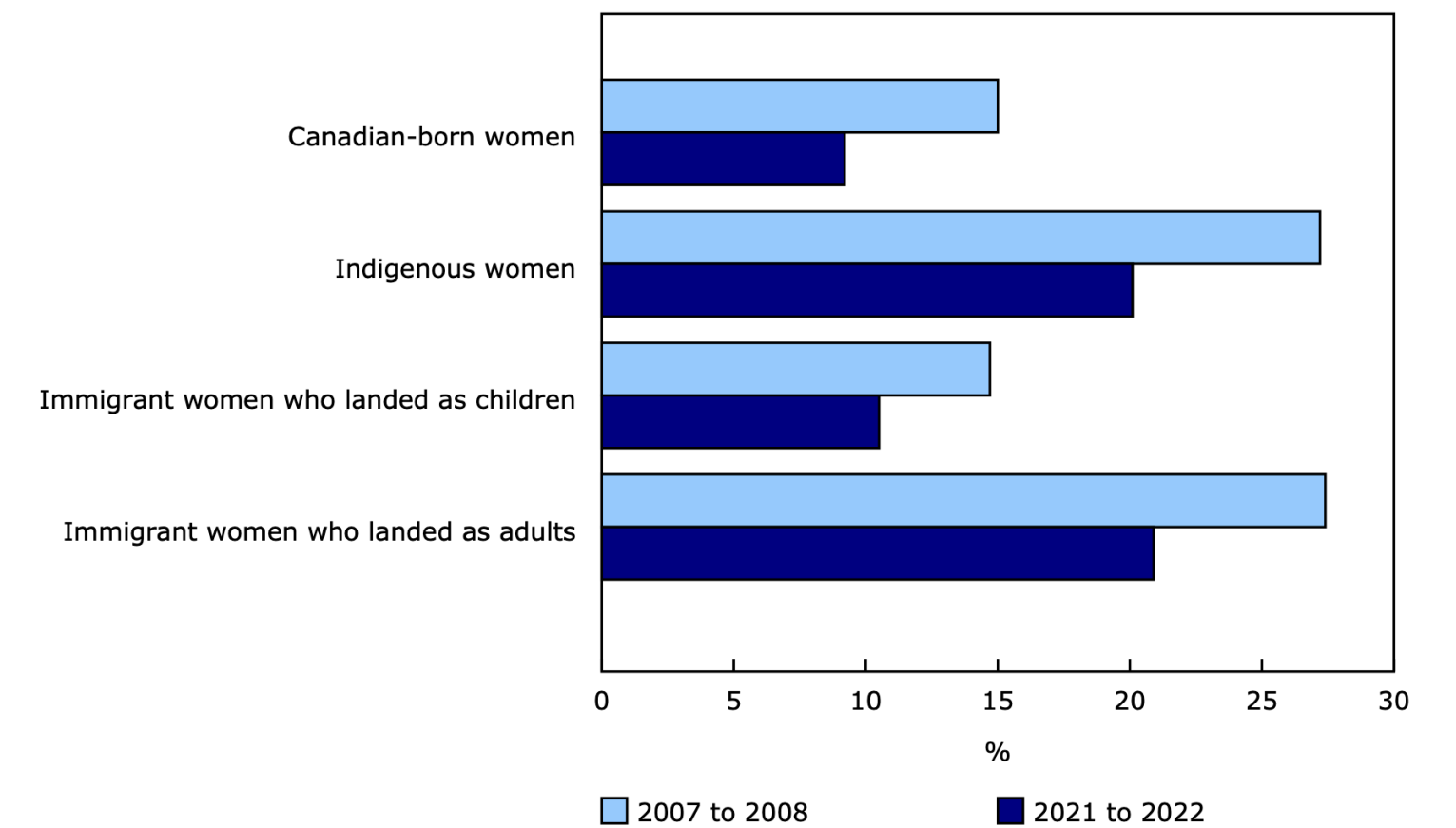
- Discuss trends in male-female earnings differentials in Canada
- Introduce taste-based and statistical discrimination theories
- Explain supply-side and non-competitive theories of discrimination
- Learn the Oaxaca-Blinder decomposition to measure discrimination
- Review policies to address gender discrimination

# Introduction

# Male and Female Earnings

# Male and Female Earnings

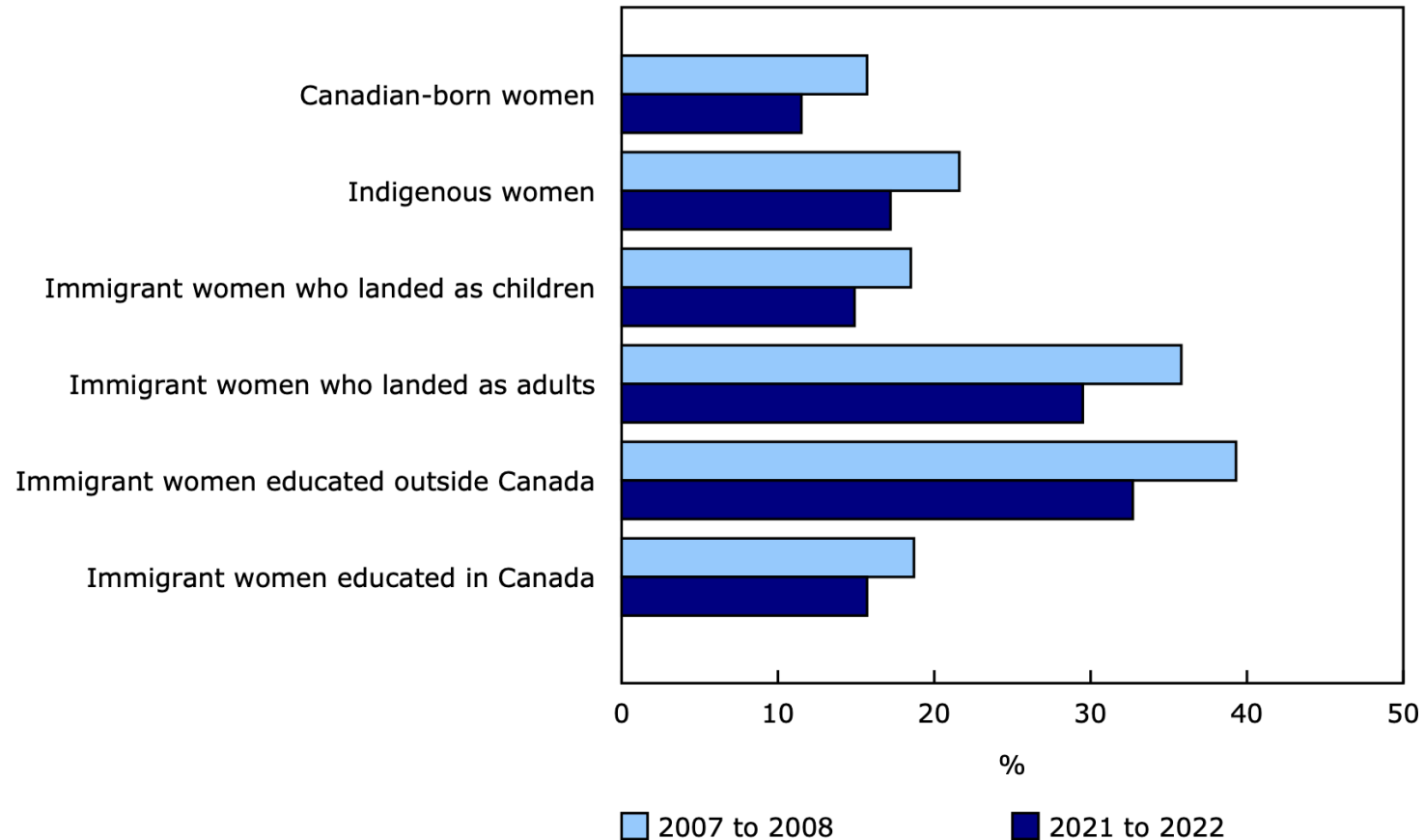
Gap in average hourly wage relative to Canadian-born men, by group of women, 2007 to 2008 and 2021 to 2022



**Note(s):** "Canadian-born" refers to non-Indigenous workers born in Canada.  
**Source(s):** Labour Force Survey (3701), March and September monthly files, 2007, 2008, 2021, and 2022.

# Male and Female Earnings

Gap in average hourly wage relative to Canadian-born men among workers holding a bachelor's degree or higher, 2007 to 2008 and 2021 to 2022



**Note(s):** "Canadian-born" refers to non-Indigenous workers born in Canada.

**Source(s):** Labour Force Survey ([3701](#)), March and September monthly files, 2007, 2008, 2021, and 2022.

# Male and Female Earnings

- Clearly men and women earn different amounts on average
- There are **two broad explanations** for this gap:
  1. Differences in characteristics (education, experience, occupation, industry, hours worked, etc.)
  2. **Differences in returns to those characteristics** (discrimination)
- Our models so far have not left room for discrimination
  - We treated all workers as the same
  - So there should not be any differences in returns

# Male and Female Earnings

In this section, we explore [economic theories of discrimination](#):

- Can come from employers, customers, co-workers
- Can be statistical or taste-based

Estimating discrimination empirically is difficult:

- Need to control for all relevant characteristics
- Need to separate differences in characteristics from differences in returns

# Male and Female Earnings

Methods that can help:

- Oaxaca-Blinder decomposition
- Audit studies
- Field experiments

## Discussion

The gender earnings gap has narrowed over time but has not closed. Why might we observe a persistent gap even as women's educational attainment has surpassed men's in many countries?

# Demand Theories of Discrimination

# Demand-Side Theories

**Demand-side theories** focus on the behaviour of employers in demanding labour.

Discrimination can happen for various reasons:

- Pure prejudice against female workers
- Customer preference to buy from male workers
- Male workers' aversion to working with women

## Warning

These all cause a fall in the **demand for women** relative to men in the labour market — reducing wages and employment of female workers

# Taste-Based Discrimination

! Becker (1957)

**Taste-based discrimination:** employers have a “taste” for discrimination — they behave as if hiring women is more costly than it actually is

- Firms produce according to:  $y = f(N_m + N_w)$
- In a competitive market, profits are:

$$\pi = p \cdot f(N_m + N_w) - w_m N_m - w_f N_w$$

- Firms do not maximize profit strictly, but instead maximize:

$$U = \pi - d \cdot N_w$$

- $d$  measures the **degree of discrimination**
- If  $d = 0$ : no discrimination; if  $d > 0$ : firms get disutility from hiring women

# Taste-Based Discrimination

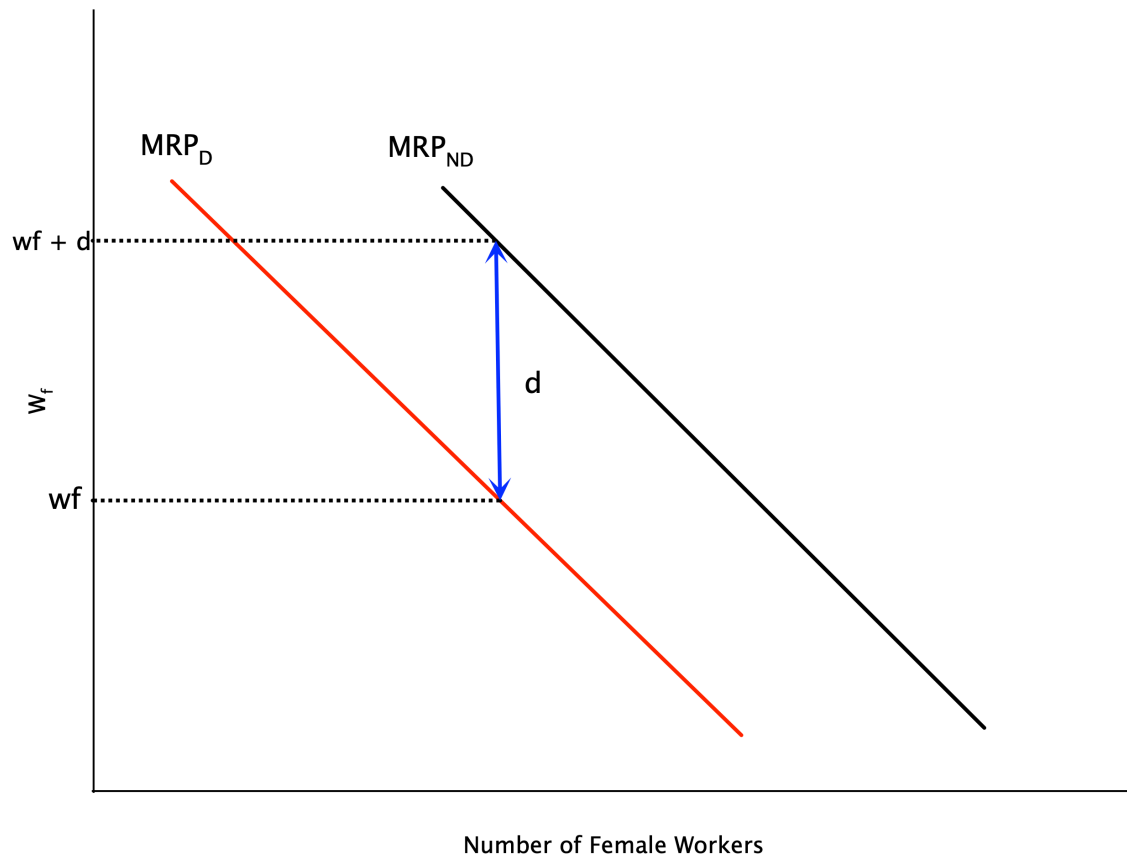
The first order conditions for utility maximization are:

$$p \cdot MP_{N_m} = w_m$$

$$p \cdot MP_{N_w} = w_f + d$$

- For both men and women, firms hire up to where VMP equals the **effective cost** of hiring
- But for women, there is an **additional cost  $d$**  due to discrimination
- If  $w_m = w_f$  and men and women are equally productive, this implies firms hire **fewer women**
  - Discrimination drives a wedge between wages and the MRP

# Taste-Based Discrimination

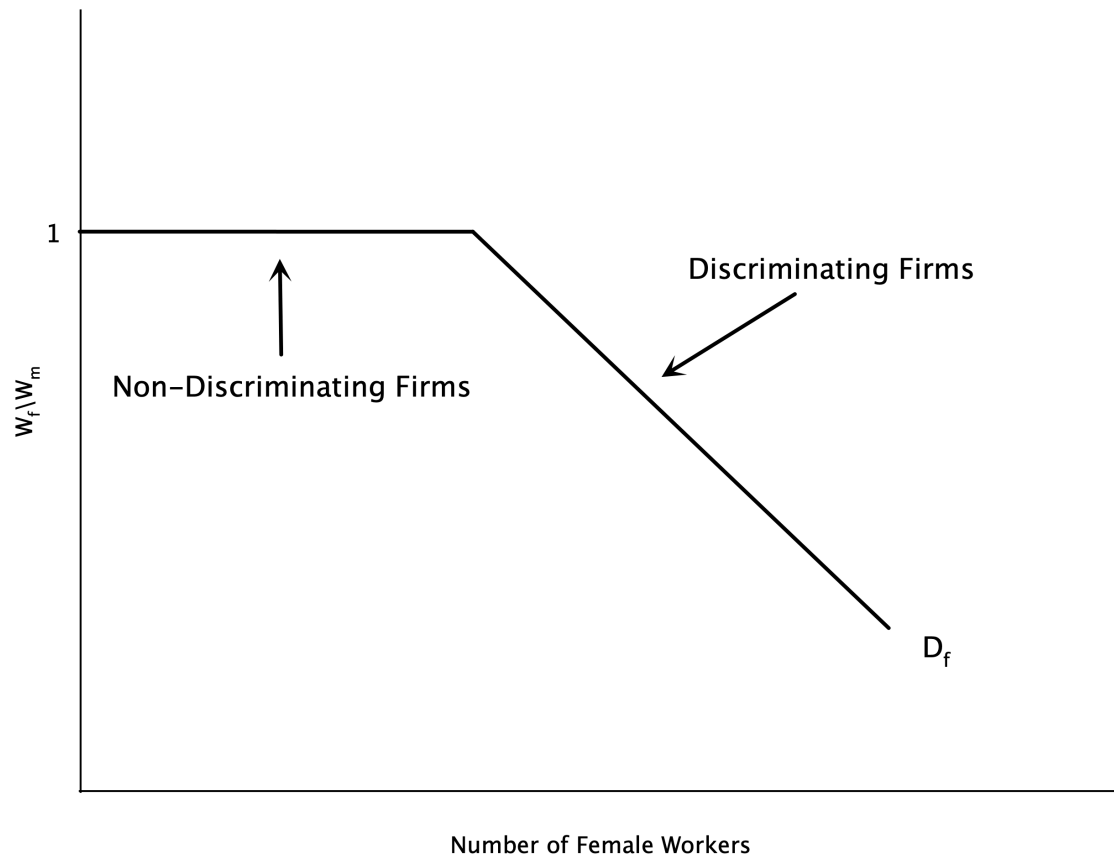


- Graph plots labour demand for women
- Discrimination shifts demand curve left
- Without discrimination: firm hires where  $w_f = MRP_{ND}$
- With discrimination: firm hires where  $w_f + d = MRP_D$ 
  - Or equivalently  $w_f = MRP_D - d$
- Implies a lower level of female labour

# Taste-Based Discrimination

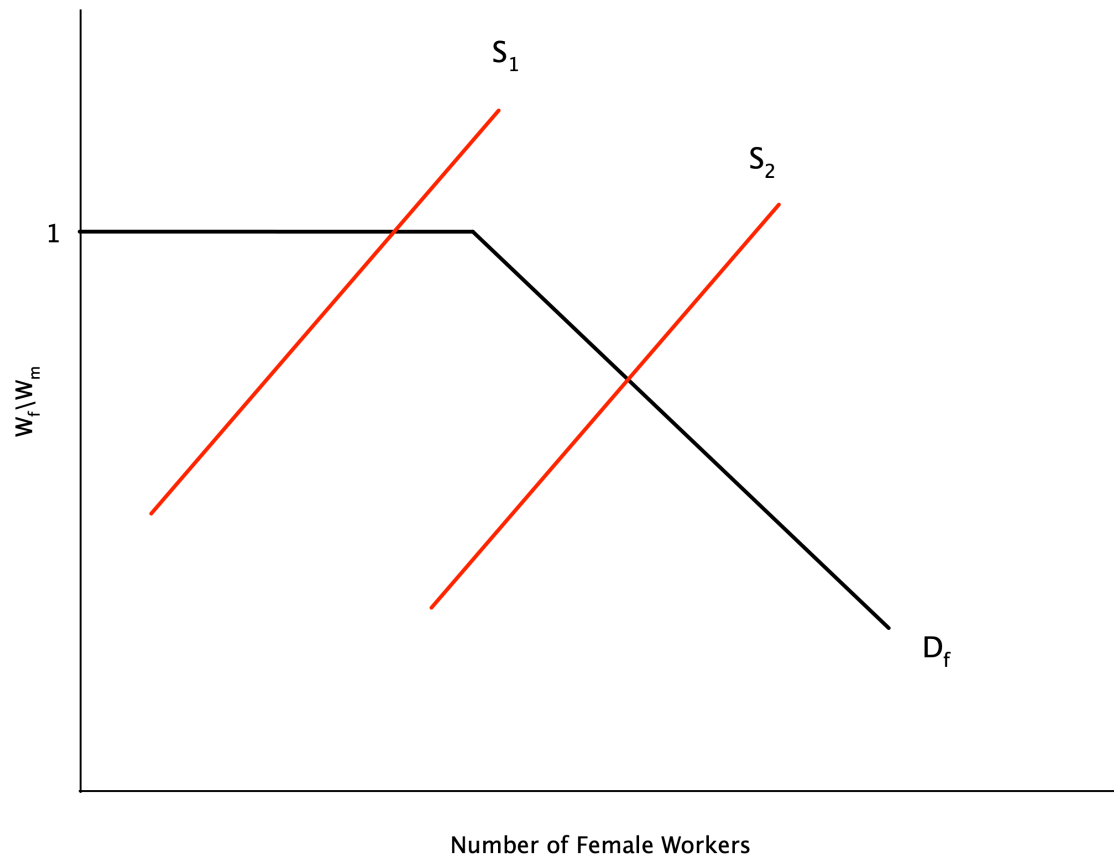
- Above analysis is for a single employer
- Employers discriminate along a spectrum — some have a high  $d$ , some have a low or no  $d$
- Suppose women are able to seek out the **non-discriminating employers**
- If we order firms from lowest to highest by the amount of discrimination:
  - We can get the market demand curve by summing individual demand curves horizontally
- This demand curve is plotted on the next slide

# Taste-Based Discrimination



- Vertical axis is the ratio of female to male wages
- For **non-discriminating firms**, this ratio is 1
  - A certain set of firms will hire women at this ratio (flat portion of demand curve)
- As the supply of women grows, they must work at **more discriminating firms**
  - These firms will only hire when the wage ratio falls

# Taste-Based Discrimination



- If the supply of female labour is **small enough**, they can work at non-discriminating firms
  - Wage ratio is 1
- With a **larger supply**, some will have to work at discriminating firms
  - Wage ratio falls below 1
  - This is where the demand curve slopes downwards
  - **Wage gap emerges**

## Think About It

In Becker's model, discriminating firms sacrifice profits by not hiring equally productive women at lower wages. What would happen to taste-based discrimination in the long run if product markets are perfectly competitive?

# Statistical Discrimination

## ! Statistical Discrimination

**Statistical discrimination:** firms use group characteristics to infer individual productivity

- Arises because of **imperfect information** — employers do not know individual worker productivity perfectly
  - Instead they use signals to infer worker quality
  - If one group has lower average productivity (or a noisier signal), firms may pay them less on average
- 
- Contrast with taste-based discrimination, which relies on employers having overt prejudice

# Statistical Discrimination: Theory

Assume that the abilities of male and female workers are distributed with means  $\bar{a}_m$  and  $\bar{a}_f$ . The firm has access to a signal of ability  $x$  for each person. Expected ability is:

$$a(x) = \bar{a} + \alpha(x - \bar{a})$$

Where  $\alpha$  is the **reliability of the signal**:

- If  $\alpha = 0$ : the signal provides no information beyond the average
- If  $\alpha = 1$ : the signal is perfectly informative

Workers are paid a wage equal to their marginal revenue product

# Statistical Discrimination

Paying workers their marginal revenue product implies:

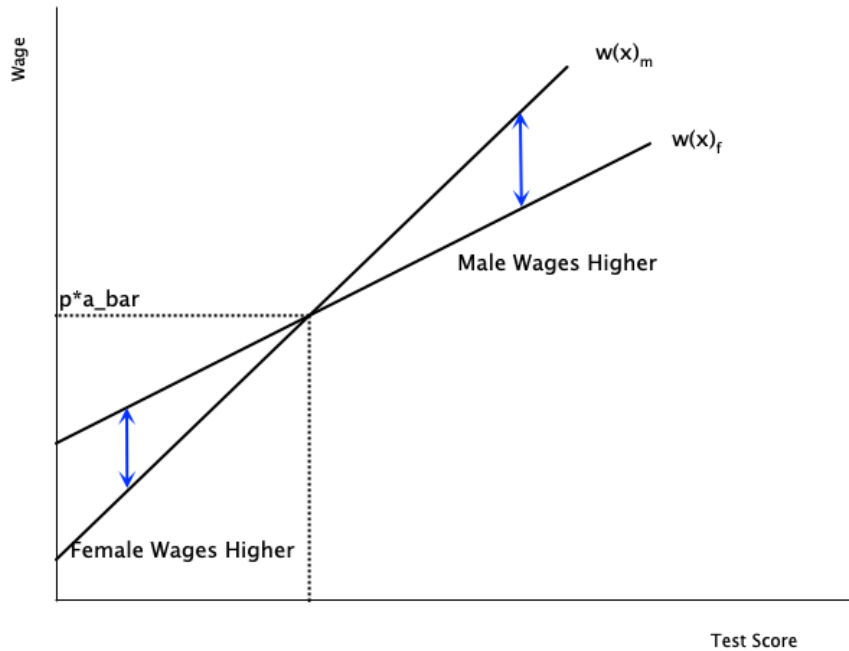
$$w(x) = pa(x) = p\bar{a} + p\alpha(x - \bar{a})$$

Assume  $\bar{a}_m = \bar{a}_f$  (men and women are equally productive on average), but the signal is **more reliable for men**:  $\alpha_m > \alpha_f$

Differences arise between workers who score the same on the signal:

- If a man and woman score above average ( $x - \bar{a} > 0$ ), then **men are paid more**
- If a man and woman score below average ( $x - \bar{a} < 0$ ), then **women are paid more**

# Statistical Discrimination



- Male line is steeper because the signal is more reliable ( $\alpha_m > \alpha_f$ )
- For test scores above average: men are paid more
- For test scores below average: women are paid more
- At the average: they are paid the same

# Statistical Discrimination

- There are no underlying differences between males and females
  - Differences in wages arise because of **differences in the quality of the signal**
  - Firms place more weight on average ability for female workers
  - Firms place more weight on the actual signal for male workers
- But where does the assumption  $\alpha_m > \alpha_f$  come from?
  - Possibly related to prejudicial attitudes of firms
  - Some believe standardized tests favour males

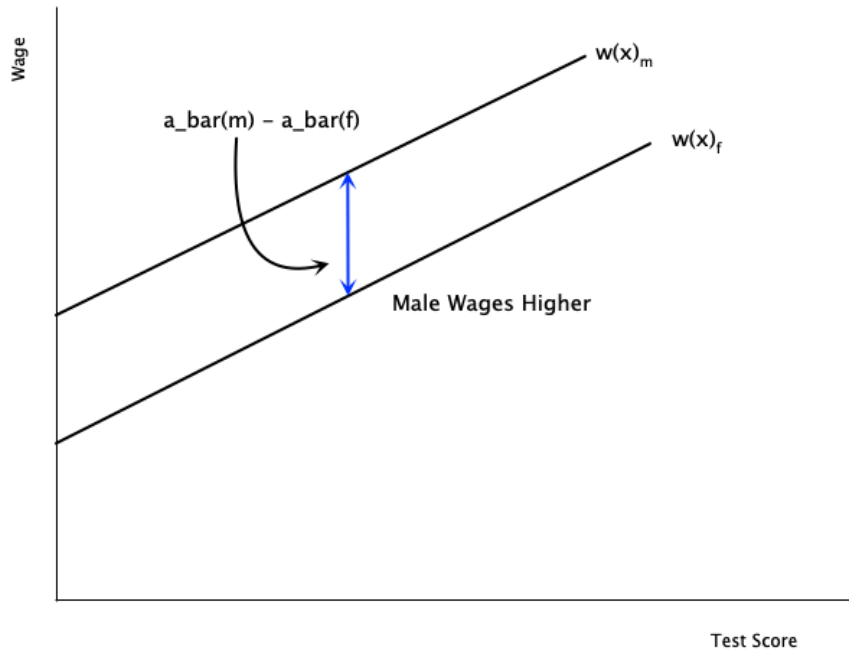
# Statistical Discrimination

- There may also be differences in  $\bar{a}_m$  and  $\bar{a}_f$ 
  - Possibly due to **pre-market discrimination** leading to lower human capital among women
- In this case, males are paid more at **every signal level**
- Wage differences do not necessarily arise from overt discrimination
  - They may originate in differences in information signals or average productivity
  - But it is difficult to explain why such differences in signal quality exist

## Think About It

Under statistical discrimination, a high-ability woman and a high-ability man both score well on an employment test, but the signal is noisier for women. What would happen to the wage gap between these two workers if the employer could conduct a longer, more thorough evaluation of all candidates?

# Statistical Discrimination



- In this graph the quality of the signal is the same (equal slopes)
- But there are **differences in average productivity**
  - Male line lies above female line
- Men will be paid more because of the average difference

# Supply Theories of Discrimination

# Supply-Side Theories

- We discussed demand-side theories — focused on employer behaviour
- Discrimination may also arise on the labour supply side
  - Factors that affect where women choose or are able to work

# Crowding Hypothesis

## Crowding Hypothesis

Women are **overrepresented in certain occupations**, pushing up their labour supply in those occupations — which **depresses wages** relative to men

- Women are paid their marginal product
- But are corralled into a small set of jobs, which depresses wages

# Dual Labour Market Theory

## ! Dual Labour Market Theory

There are two distinct labour markets:

- **Primary market:** high wages, good working conditions, opportunities for advancement; unionized, stable, expanding
- **Secondary market:** low wages, poor working conditions, little opportunity for advancement; non-unionized, highly competitive, declining

Theory posits that women are concentrated in the secondary market — prejudice prevents women from entering the primary market

# Lower Reservation Wages

Theory: female reservation wages are lower because:

- Costly to search for non-discriminating employers
- Job search is limited by strong household ties
- Ability to negotiate higher pay limited by lower threat of leaving

## Note

With a lower reservation wage, women are more likely to be paid less — contributing to the pay gap

Some empirical evidence supports this

# Risk Aversion

- Large literature documenting that women are less aggressive/competitive in bargaining
  - Also less confident in their abilities
  - Evidence of this in many studies in economics and psychology
- Might mean women are **less likely to compete for higher paying jobs**

# Differences in Preferences

May be differences in preferences for education, training, hours, work conditions, occupation — all of these are correlated with pay

## The Endogeneity Problem

These choices are sometimes a product of discrimination — so it is **hard to separate preferences from discrimination effects**

Example: STEM fields pay well, but are male dominated — history of discrimination in this field may lead women not to choose it

# Non-Competitive Theories of Discrimination

# Non-Competitive Theories

- One issue with the above theories: they assume competitive markets
- Men and women are assumed to have equal productivity
- Discriminating firms hire fewer women because of prejudice
- But non-discriminating firms can hire more women at lower wages
  - Would **increase their profits**
  - Non-discriminating firms would bid up wages of women
  - Should **close the gap**

# Non-Competitive Theories

## Why Does the Gap Persist?

Non-competitive theories explain persistent wage gaps when markets are not perfectly competitive — due to monopsony power, imperfect information, search frictions, etc.

# Imperfect Information

- Even if firms know they can increase profits by hiring more women, they might not be able to immediately change their workforce
  - Hiring and recruiting are **costly** — search frictions, quasi-fixed costs
- Firms may be slow to adjust to profit opportunities
- This can lead to **persistent wage gaps**
  - But does not explain why the gaps have persisted for so long

# Queueing Theory

- Some firms pay **efficiency wages**
  - Wages above the market clearing level to increase productivity
- This results in a **queue of workers** wanting to work at the firm
- While rationing jobs, firms may discriminate

# Political Pressure

- Sometimes market decisions are overridden by political pressures
- A male-centric government or union may:
  - Hire more men in government jobs
  - Be discriminatory with education and training
- The political pressure could come from [interest groups](#)
  - May have significant resources to lobby the government

# Monopsony Power

- Monopsony gives firms power to **set wages below competitive levels**
- Monopsonies may take advantage of the **relative immobility of women** to lower their wages
  - Recall women may have stronger ties to household
- They may also try to pit men and women against each other
  - Create competition between the groups to lower wages

# Systemic Discrimination

## Systemic Discrimination

Discrimination is embedded in social and economic systems — has been going on for so long that it is now **self-perpetuating**

Could come from:

- Existence of “old boys” mentality
- Old job requirements that implicitly discriminate but continue to exist

# Productivity Differences

# Productivity Differences

- It may be the case that men and women have **productivity differences**
  - This could determine pay differences even in competitive markets
- Note: not *innate* productivity differences
- Differences coming from **acquisition of human capital** over time:
  - Education
  - Training
  - Work experience
- If human capital investments are a choice, then pay differences are **not discrimination**
- But it could be that choices are **influenced by discrimination**

# Dual Role

- Traditionally women have more of a **dual role** than men — balancing household and market work
- If this continues to be true, then women:
  - Have less continuity in work (mainly from interruptions for children)
  - Are more likely to have periods of paid work and labour force withdrawals
- This leads to **lower accumulation of human capital**
  - Because there is less time to recoup the costs
- In some sense this is a rational choice — but is rooted in a society that does not accommodate enough for working mothers

# Pre-Market Discrimination

## ! Pre-Market Discrimination

**Pre-market discrimination:** discrimination that influences choices before workers even enter the labour market

- Education
- Training
- Career path

What looks like a rational choice is itself affected by discrimination

Example: STEM jobs pay well but are male dominated — women are discouraged from entering these fields, and thus do not have access to the higher pay that comes with them

# Measuring Discrimination

# Introduction

- Now that we have discussed theories of discrimination, how do we **measure it**?
- Difficult because in most cases discrimination is **not directly observable**
  - There is no “discrimination” variable in datasets
- Can design experiments to measure discrimination:
  - **Audit studies**
  - **Field experiments**
- But in most cases we have to rely on observational data

# Introduction

- Measuring discrimination involves comparing people of **equal productivity**
  - So that any leftover wage differences could be due to discrimination
- But we do not observe productivity directly
- Instead, hold constant variables related to productivity:
  - Education
  - Experience
  - Occupation
  - Industry
  - Hours worked
- Then **decompose the wage difference** into part due to characteristics and part due to other factors

# Blinder-Oaxaca Decomposition

## ! Blinder-Oaxaca Decomposition

Method to decompose differences in average earnings between two groups into:

- Explained part: due to differences in characteristics (endowments)
- **Unexplained part:** due to differences in returns to those characteristics (potentially discrimination)

Suppose we estimate a regression of log earnings on observed characteristics for men and women:

$$\ln(Y_m) = \hat{\beta}_m \cdot \bar{X}_m$$

$$\ln(Y_f) = \hat{\beta}_f \cdot \bar{X}_f$$

# Blinder-Oaxaca Decomposition

The difference in average log earnings is:

$$\ln(Y_m) - \ln(Y_f) = \hat{\beta}_m \cdot \bar{X}_m - \hat{\beta}_f \cdot \bar{X}_f$$

Add and subtract  $\hat{\beta}_m \cdot \bar{X}_f$ :

$$\ln(Y_m) - \ln(Y_f) = \underbrace{\hat{\beta}_m \cdot (\bar{X}_m - \bar{X}_f)}_{\text{explained}} + \underbrace{\bar{X}_f \cdot (\hat{\beta}_m - \hat{\beta}_f)}_{\text{unexplained}}$$

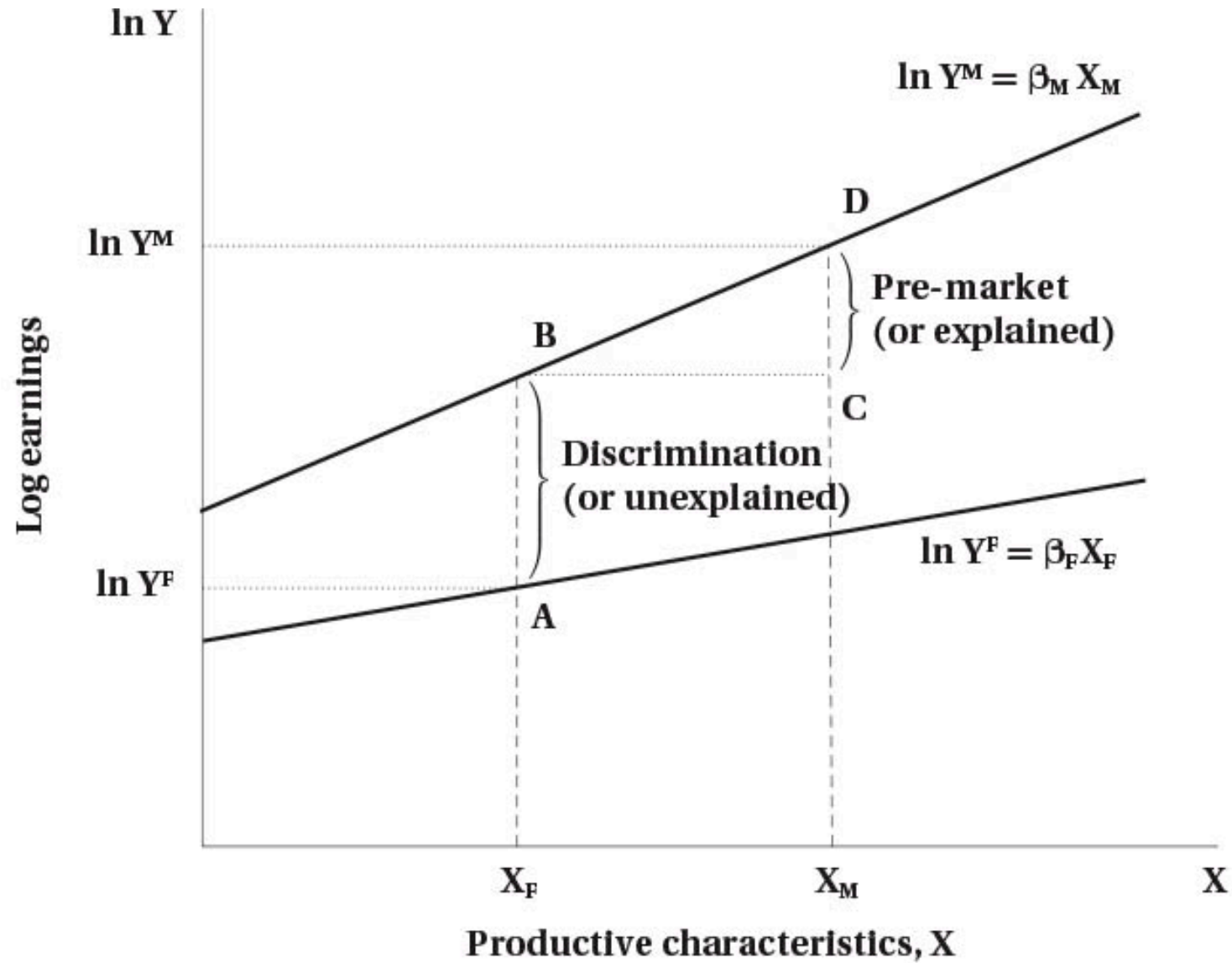
- Explained: holds slope constant at  $\hat{\beta}_m$ , looks at differences in average  $X$
- **Unexplained**: holds average characteristics constant at  $\bar{X}_f$ , looks at differences in slopes (returns)

# Blinder-Oaxaca Decomposition

## Warning

Traditionally, the **unexplained part is interpreted as discrimination** — but could also be due to unobserved productivity differences

# Blinder-Oaxaca Decomposition



# Blinder-Oaxaca Decomposition

Suppose we have run the following regression separately for men and women:

$$\ln Y = \beta_0 + \beta_1 \text{Educ} + \beta_2 \text{Experience}$$

Estimated coefficients:

- **Men:**  $\beta^M = (2.0, 0.10, 0.02)$
- **Women:**  $\beta^F = (1.8, 0.08, 0.015)$

# Blinder-Oaxaca Decomposition

Mean observed characteristics:

- **Men:**  $E\bar{\text{educ}}_M = 14, E\bar{\text{exp}}_M = 15$
- **Women:**  $E\bar{\text{educ}}_F = 13, E\bar{\text{exp}}_F = 12$

Average predicted log wage for men:

$$\ln \bar{Y}_M = 2.0 + 0.10 \cdot 14 + 0.02 \cdot 15 = 2.0 + 1.4 + 0.3 = 3.7$$

# Blinder-Oaxaca Decomposition

Average predicted log wage for women:

$$\ln \bar{Y}_F = 1.8 + 0.08 \cdot 13 + 0.015 \cdot 12 = 1.8 + 1.04 + 0.18 = 3.02$$

The wage gap is therefore:

$$\ln \bar{Y}_M - \ln \bar{Y}_F = 3.70 - 3.02 = 0.68$$

This says that the wage gap is about **0.68 log points — roughly 97% higher wages for men**

# Blinder-Oaxaca Decomposition

We decompose:  $\ln \bar{Y}_M - \ln \bar{Y}_F = \text{Explained} + \text{Unexplained}$

Explained (due to characteristics):

$$\text{Explained} = (\bar{X}_M - \bar{X}_F) \beta^M$$

Differences in means: Education:  $14 - 13 = 1$ , Experience:  $15 - 12 = 3$

$$\text{Explained} = 1 \cdot 0.10 + 3 \cdot 0.02 = 0.10 + 0.06 = 0.16$$

About 0.16 log points of the gap are due to men having more education and experience.

# Blinder-Oaxaca Decomposition

Unexplained (returns to characteristics):

$$\text{Unexplained (slopes)} = \bar{X}_F (\beta_M - \beta_F)$$

Coefficient differences: Education:  $0.10 - 0.08 = 0.02$ , Experience:  $0.02 - 0.015 = 0.005$

$$\text{Unexplained (slopes)} = 13 \cdot 0.02 + 12 \cdot 0.005 = 0.26 + 0.06 = 0.32$$

Intercept difference:  $\beta_{0M} - \beta_{0F} = 2.0 - 1.8 = 0.20$

Total unexplained:  $0.32 + 0.20 = 0.52$

# Blinder-Oaxaca Decomposition

## Final Decomposition

$$0.68 = \underbrace{0.16}_{\text{explained (24\%)}} + \underbrace{0.52}_{\text{unexplained (76\%)}}$$

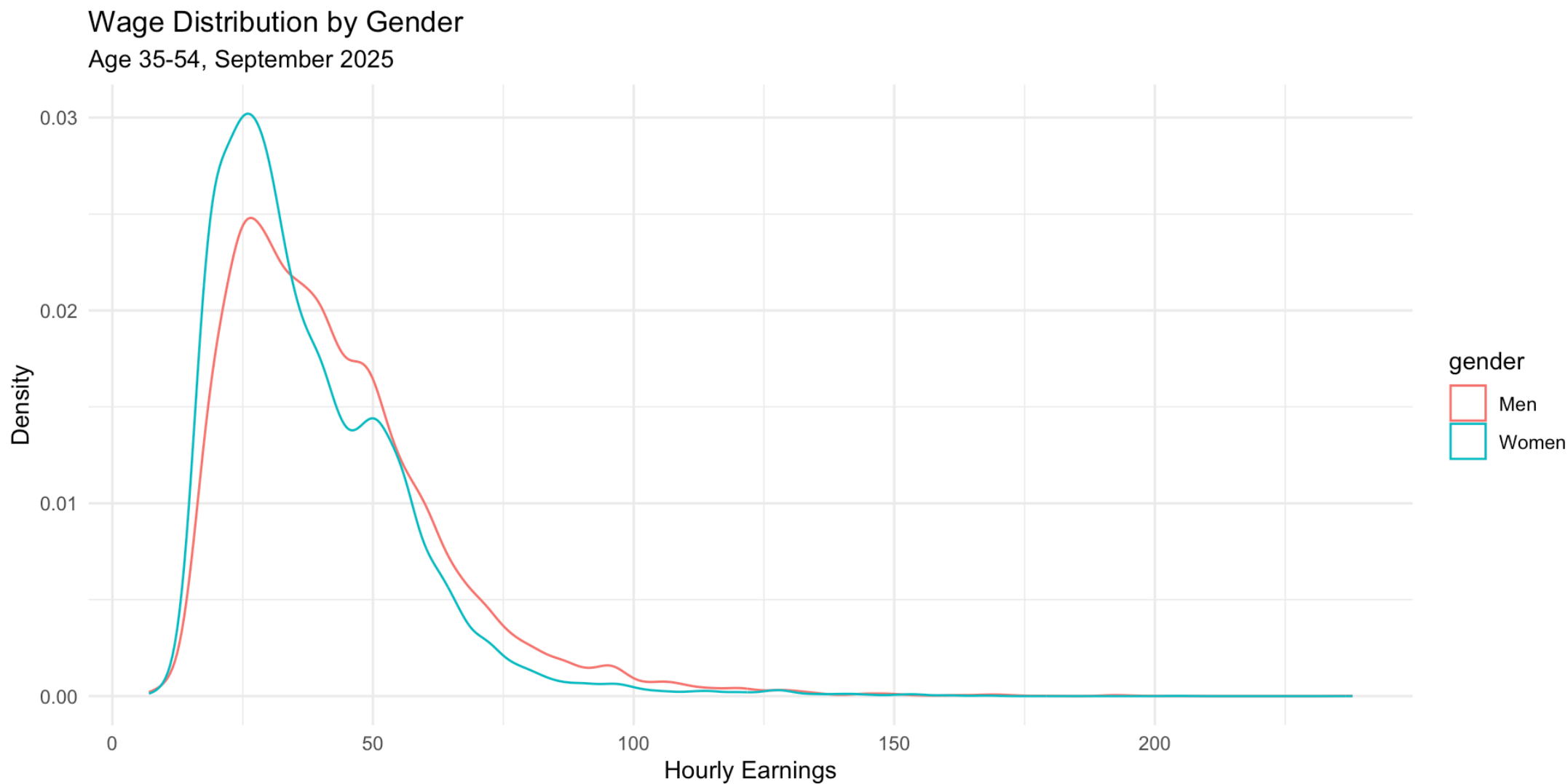
- Explained (0.16, ~24%): due to men having higher average education and experience
- **Unexplained (0.52, ~76%):** due to different returns to characteristics and intercept differences

# Blinder-Oaxaca Decomposition

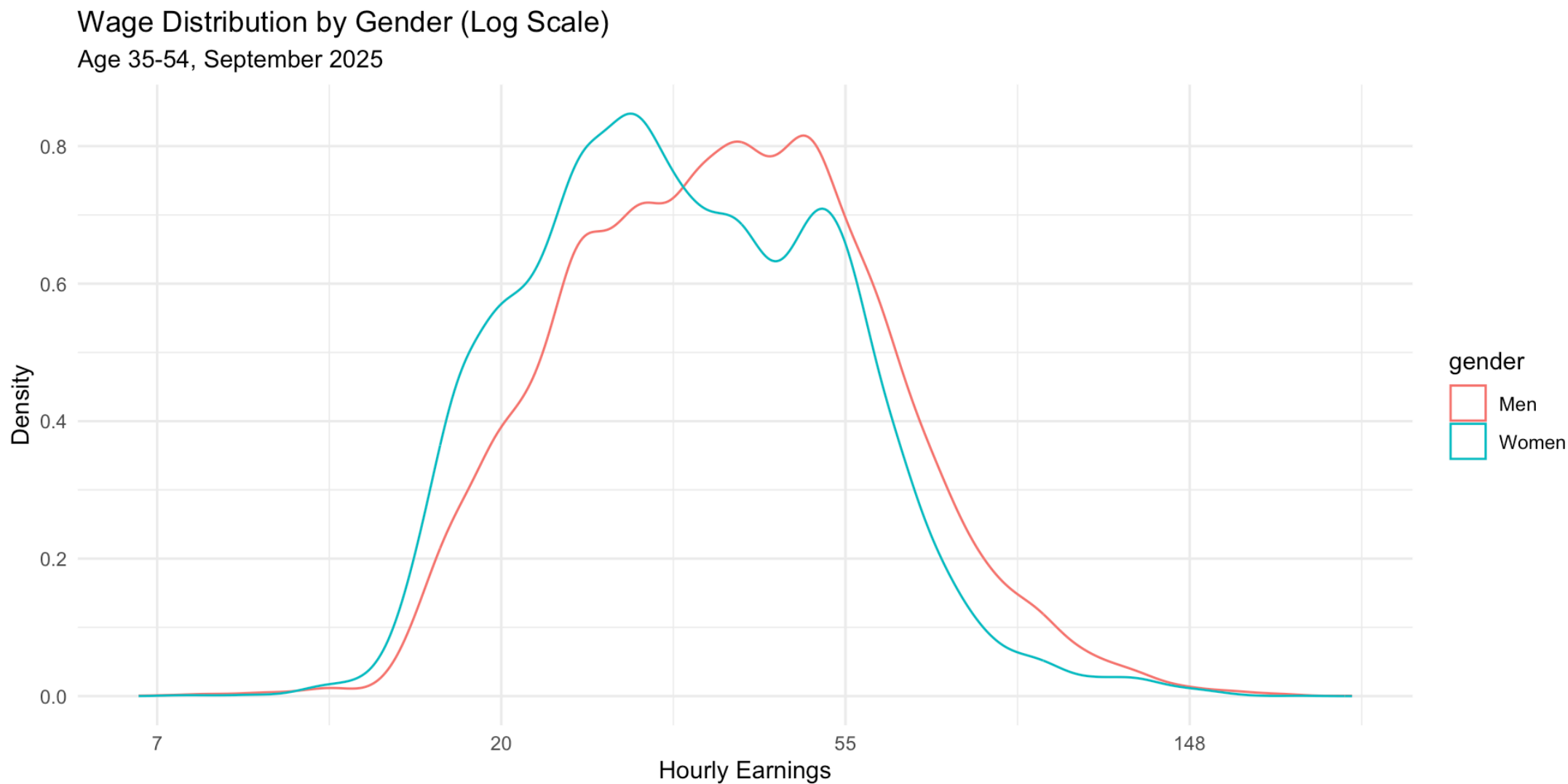
Here is an example using real data from Canada:

- Labour Force Survey from September 2025
- Restricted to people aged 35–54 with wages  $> 0$
- First examine summary statistics, then run a regular regression, then the decomposition

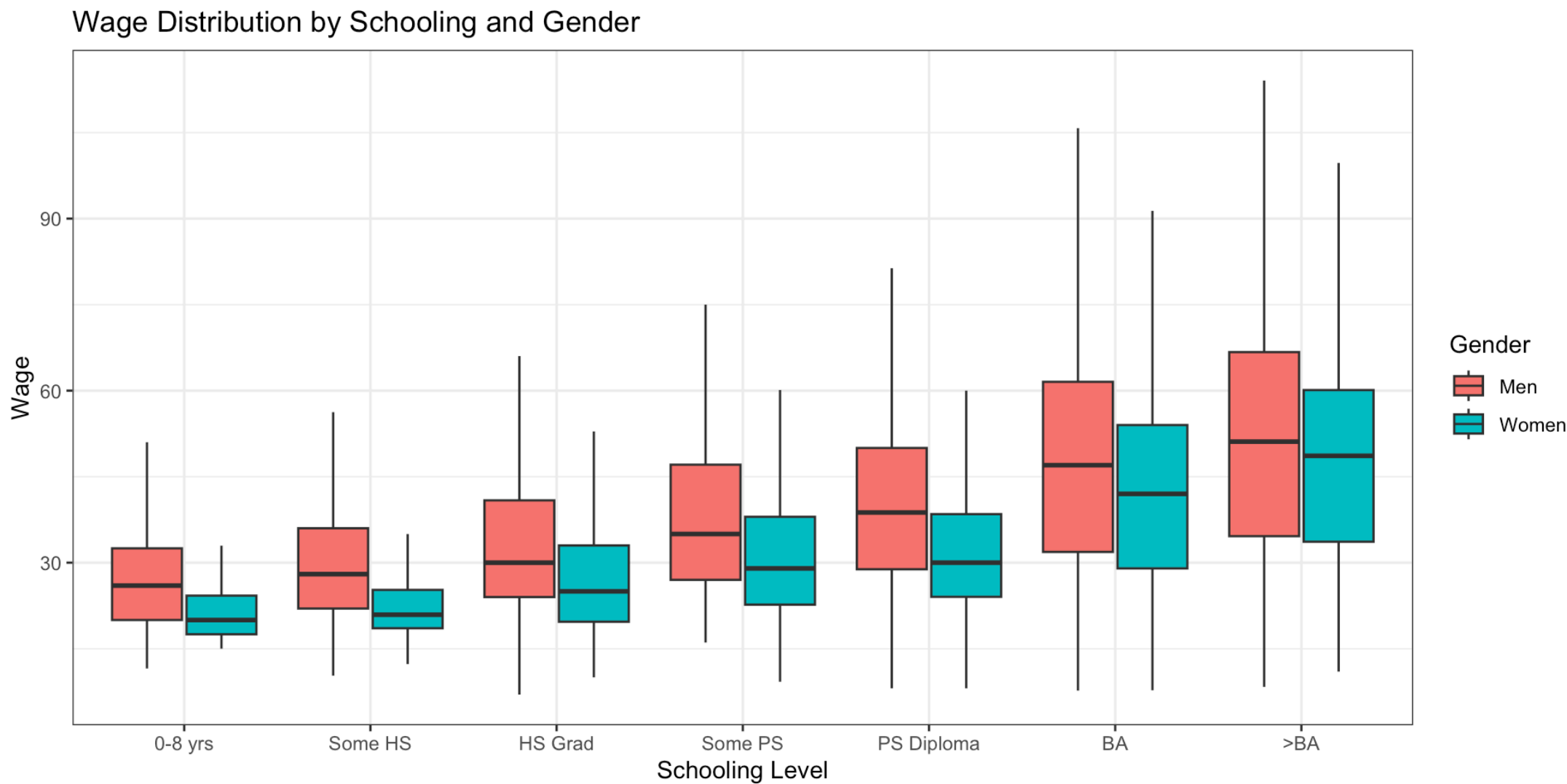
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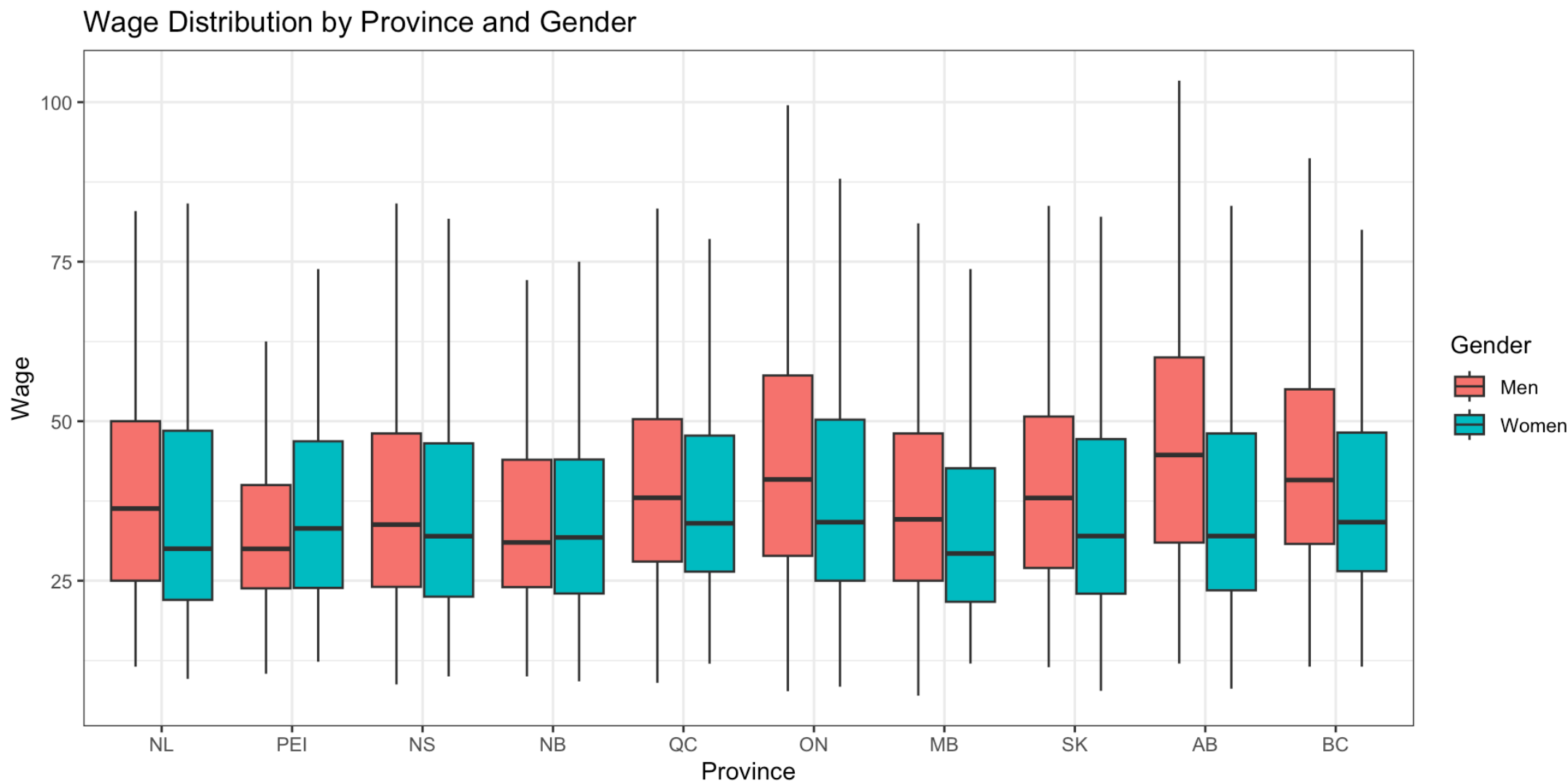
# Blinder-Oaxaca Decomposition



# Blinder-Oaxaca Decomposition



# Blinder-Oaxaca Decomposition



# Blinder-Oaxaca Decomposition

|          | Wage        | Log Wage   | Log Wage (with Controls) |
|----------|-------------|------------|--------------------------|
| Women    | -5.032      | -0.122     | -0.174                   |
|          | (0.247)     | (0.006)    | (0.005)                  |
| Num.Obs. | 25233       | 25233      | 25233                    |
| R2       | 0.016       | 0.018      | 0.227                    |
| R2 Adj.  | 0.016       | 0.018      | 0.226                    |
| AIC      | 221896.5    | 212082.5   | 206091.9                 |
| BIC      | 221920.9    | 212106.9   | 206335.9                 |
| Log.Lik. | -110945.268 | -15494.659 | -12472.344               |
| F        | 413.611     | 466.878    | 264.816                  |
| RMSE     | 19.65       | 0.45       | 0.40                     |

# Blinder-Oaxaca Decomposition

| Component                  | Estimate |
|----------------------------|----------|
| Overall Difference         | 0.122    |
| Explained (Endowments)     | -0.051   |
| Unexplained (Coefficients) | 0.173    |

# Collider Bias

- Sometimes researchers control for variables in a regression to adjust the wage gap
  - What is the gap if we hold constant age, education, experience, occupation, industry, hours worked, etc.?
- The idea is to compare people who are the same on all relevant characteristics

## Collider Bias

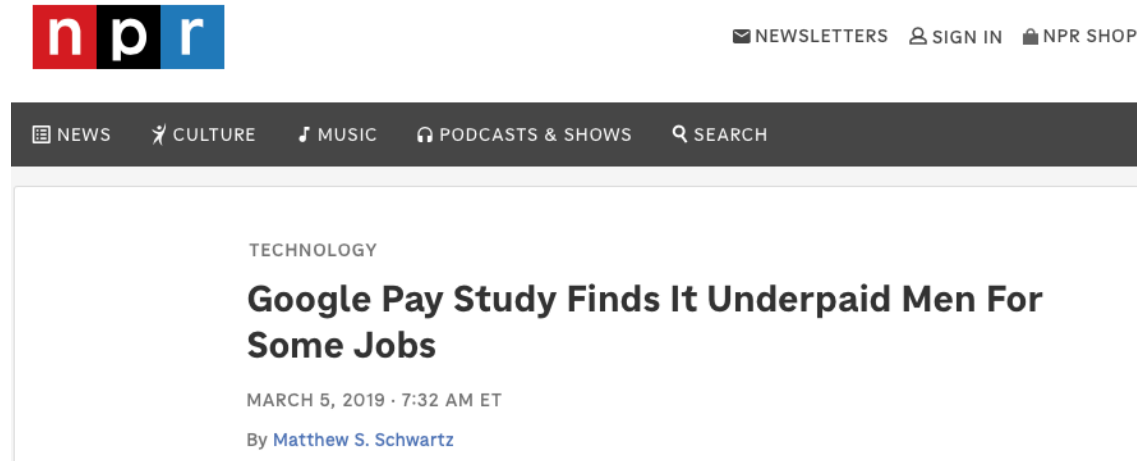
**Collider bias:** controlling for certain variables (like occupation) can actually **create bias** in discrimination estimates if those variables are themselves outcomes of discrimination

# Collider Bias

Example — the tech industry:

- Men and women have equal ability in the general population
- Women face discrimination in tech, so to get the job they must have **very high ability**
- Men can enter even with moderate ability
- If you look at the wage gap in tech jobs, it might appear to **favour women**
  - In the same occupation, women will have higher ability because they had to overcome discrimination
  - Comparing men and women within occupation **creates** ability bias

# Collider Bias



This happened at [Google](#):

- There was a complaint that women were being underpaid
- An analysis found that **men** were underpaid
- A perfect example of collider bias
  - They looked within jobs
  - Women of very high ability were selected into those jobs
  - Their wages were higher because of that

# Collider Bias

How to avoid collider bias:

## Best Practice

Do not add variables that are outcomes of discrimination to the regression

- **Occupation** is often an outcome of discrimination
- **Industry** may also be an outcome

Instead include only **predetermined characteristics**: things that are not affected by discrimination — mainly basic demographics, possibly education and experience

## Discussion

In a Blinder-Oaxaca decomposition, the unexplained component is often interpreted as discrimination. Why might this interpretation overstate or understate the true amount of discrimination?

# Additional Evidence on Gender Pay Gaps

# Introduction

- Significant statistical work has been done on this issue
  - Why? Its importance and availability of data
- We will briefly review some of the evidence here, with a focus on Canadian studies

# Evidence

## Key findings:

- Women in Canada earn about **60% of what men earn** (unconditional gap)
- After controlling for characteristics, the gap shrinks to about 85%
- **Pay gap is smaller in the public sector** — pay practices are more egalitarian in government
- Gap has been **falling over time** — many factors could contribute
- Internationally, gaps are **smaller with stronger bargaining structures**
- Gap is **smaller the more competitive the industry**

# Evidence

Additional findings:

- Occupational segregation does not explain a large part of the gap
  - Gap is explained more by *industry* than occupation
- Women face career penalties from family responsibilities
- Glass ceilings are an observed phenomenon
  - At the top end of the pay distribution, gaps are larger
  - Lots of international evidence of differences in career advancement
- Unions have a higher impact on women than men
  - Offset by the fact that women are less likely to be unionized

# Evidence

- Mixed evidence on job-protected leave
  - Leave is good because it protects jobs for women
  - But might make employers less likely to hire women in the first place
  - Evidence shows it lowers wages for women in the U.S.
  - In Canada it increases job continuity
- Some evidence that gap grows with more work experience
  - Upon initial entry, gap is small
  - Grows over time

# Other Groups

# Introduction

- The same techniques used to analyze gender wage gaps can be used to estimate gaps for other groups
- This is usually done by [race or ethnicity](#)
  - U.S. studies have focused in particular on racial discrimination

# Evidence for Other Groups

## Indigenous peoples in Canada:

- About 85% of non-Indigenous wages off reserve
- Shrinks after controlling for characteristics

## Ethnic-white wage gaps in Canada:

- Complicated by the fact that many non-white Canadians are also immigrants
- Immigration has its own independent effect on wages
- Controlling for this, gaps are very high — summarized on next slide

# Evidence for Other Groups

**TABLE 12.1**

**Ethnic Wage Differentials, Various Groups Born in Canada or United States**

|                      | Black | South Asian <sup>a</sup> | Southeast Asian <sup>b</sup> | Chinese | Aboriginal |
|----------------------|-------|--------------------------|------------------------------|---------|------------|
| <b>Canada</b>        |       |                          |                              |         |            |
| Total gap            | 0.293 | 0.536                    | -0.022                       | 0.193   | 0.179      |
| "Discrimination"     | 0.171 | 0.222                    | 0.023                        | 0.058   | 0.091      |
| <b>United States</b> |       |                          |                              |         |            |
| Total gap            | 0.328 | 0.176                    | -0.079                       | -0.205  | 0.304      |
| "Discrimination"     | 0.123 | 0.055                    | -0.007                       | -0.047  | 0.136      |

NOTES: The total gap is the percentage by which the earnings of whites exceed those of the ethnic group, reflecting both the differences in their wage-determining characteristics and the differences in pay for the same characteristics. The latter is the differences in the regression coefficients from an Oaxaca-type decomposition as discussed in the text, and is labelled here as "Discrimination."

<sup>a</sup> E.g., Bangladesh, India, Pakistan

<sup>b</sup> E.g., Philippines, Korea, Vietnam

SOURCE: Baker and Benjamin (1997, Tables 5 and 11, specification 3 including industry and occupation controls). Adapted from "Ethnicity, Foreign Birth and Earnings: A Canada/U.S. Comparison," (Dwayne Benjamin with Michael Baker) in *Transition and Structural Change in the North American Labour Market*, Queen's University, Industrial Relations Centre and John Deutsch Institute, 1997. Used with permission.

# Evidence for Other Groups

## Evidence in the U.S.:

- Large literature on **Black-white wage gaps** — about 68% of white wages
  - Shrinks when controlling for past test scores (measure of pre-market productivity)
  - Pre-market discrimination also plays a large role
  - Large component of discrimination remains
- Gaps **favour Chinese and Southeast Asian workers** — not the same in Canada

## Discussion

If you were designing a single policy to reduce the gender pay gap, would you target demand-side discrimination (e.g., employer behaviour) or supply-side factors (e.g., occupational choice, human capital accumulation)? Why?

# Policies to Combat Gender Discrimination

# Introduction

- Gender discrimination has been an issue for a long time
- Several policies are enacted to combat it:
  - Equal pay
  - Equal employment opportunity
  - Policies to facilitate female employment

# Equal Pay

**Pay equity:** requires that jobs which are substantially similar receive equal pay

- Looks at very similar jobs; minor differences are allowed
- Issue: deals with similar jobs in similar establishments — does not address equity issues across jobs/industries

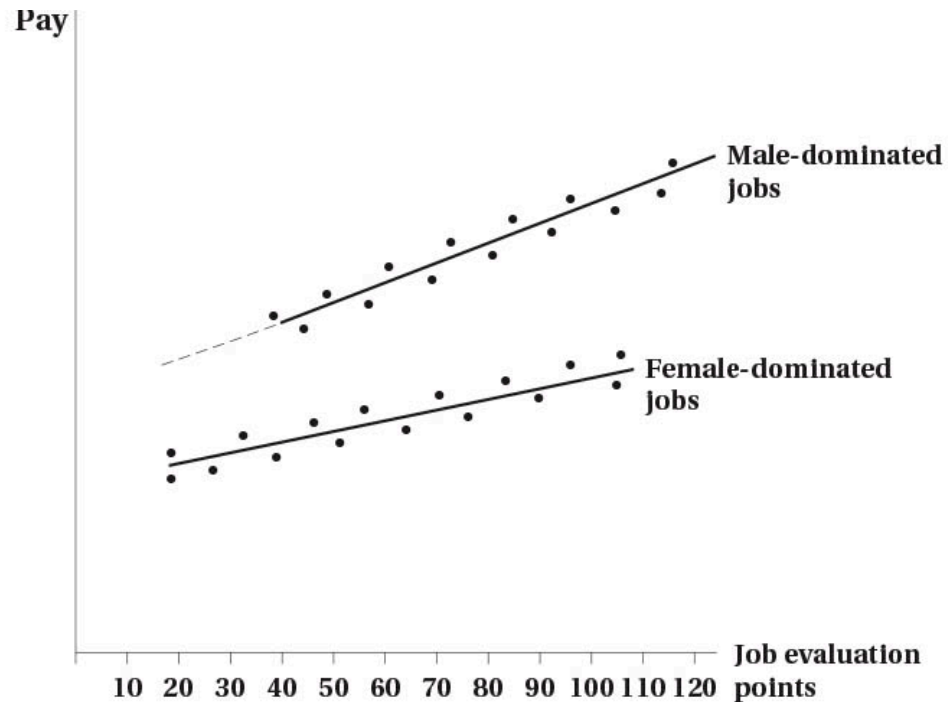
**Equal pay for equal work:** broadens the scope

- Assigns points to jobs based on skill, effort, responsibility, working conditions
- Jobs with similar points should receive similar pay
- Can apply to different occupations, but still in same firm/industry

# Equal Pay

- Applies only to jobs that are predominantly male or female (>70%) — pay in female-dominated jobs adjusted to that of male-dominated jobs

# Equal Pay



Equal pay for equal work example:

- Pay plotted against point scores
- In this example, male dominated jobs have generally higher pay
- Solutions could be:
  - Raise female line to male line
  - Raise female pay to male pay point-by-point for similar scores
  - Raise female points to male line at each point value

# Equal Pay

## Note

Equal pay for equal work is based on [administrative concept of value](#) (points for skill, effort, responsibility, working conditions) — **not** based on economic (market) value

- This is purposeful: market value reflects discrimination; administrative value tries to remove this

# Equal Employment Opportunity

- Equal pay focused on equalizing wages
- **Equal employment opportunity** focuses on equalizing **access to jobs**
  - But by equalizing access, we also expect wages to equalize
- Key initiative is **affirmative action** (aka employment equity)

# Equal Employment Opportunity

## ! Affirmative Action

Generally involves preferential treatment for minority groups

- Intended to overcome past and current discrimination
- Designed to be used temporarily to restore balance

In Canada:

- Applies only to federal workforce (~10% of jobs)
- Applies to four targeted groups: women, visible minorities, disabled persons, indigenous peoples
- Continues to be very controversial

# Facilitating Policies

Finally, there are policies that can help facilitate women in the workforce:

- Parental leave
- Child care subsidies
- Flexible work arrangements

Canada has done well on the first two — expansion of child care subsidies recently is a good example

# Facilitating Policies

- Some consider [expanding unionization](#) to be a facilitating policy
  - Unions bargain for greater pay and working conditions
  - Expanding this to cover more women would help
  - May also generate more power for women to argue for other types of legislation
- [Removing pay secrecy](#) can also help
  - If employees know what others are paid, they can better negotiate
  - Pay secrecy tends to hide discrimination
  - Some jurisdictions have passed laws banning pay secrecy

# Preference and Attitudes

- We saw that discrimination in part is due to [preferences and attitudes](#)
  - Taste-based discrimination is one example
- Could use public policy to try to change these attitudes:
  - Public awareness campaigns
  - Education programs
- Not clear how well this works

# Impact of Policies

# Introduction

- We have outlined the different anti-discrimination policies
- How effective are these policies?
- Relatively straightforward to analyze statistically
  - Use Program Evaluation techniques
  - Data generally available

# Pay Equity

## Pay Equity Effectiveness

- Generally **ineffective** in closing the gender gap
- Some evidence of an impact in the UK
- In the U.S., pay equity is difficult to disentangle from other civil rights legislation — effects are inconclusive

# Equal Pay for Equal Work

- Analyzed mostly in the public sector
- Recall the legislation is limited in scope
  - Male/female dominated jobs in same firm/industry
- Policy shown to close about one-third of the gender gap in the public sector
  - Limited evidence in the private sector

# Affirmative Action

- Affirmative action is most prominent in the U.S.
- Several studies have examined its effect:
  - Evidence that it helped employment opportunities of Black men
    - Were the main targets of the legislation in earlier years
  - In later years, helped both Black men and women
    - Targets were expanded in later years

# Facilitating Policies

## Evidence on Facilitating Policies

- **Parental leave** policies help create job continuity
- **Subsidized child care** increases female labour force participation — good evidence from Quebec
- **Pay transparency** reduces the gender gap by about 30% in academia — using evidence from the “sunshine list” in Ontario
- **“Tenure clock stopping”** policies reduce tenure rates for women — unintended consequence: men can increase productivity
- **Banning criminal history questions** hurt employment of Black men — increased use of discrimination

# Summary

# Summary

- **Discrimination can arise from** tastes (Becker), statistical discrimination, supply-side factors, and non-competitive markets
- **Measuring discrimination is difficult** because productivity is not observed
  - Blinder-Oaxaca decomposition is a common method
- **Collider bias** is a potential issue when controlling for variables that are themselves outcomes of discrimination
- There are a number of initiatives to reduce discrimination
  - Mixed evidence on their effectiveness